

to live in these areas. What are the implications of our findings? *It's easier to accumulate wealth if you don't live in a high-status neighborhood.* But even those millionaires who do live in high-status areas realize only 6.7 percent of their wealth each year. Think of their non-affluent neighbors who, on average, must constantly realize more than 40 percent of their wealth just for the joy of living in a high-status gulch.

Perhaps you aren't as wealthy as you should be because you traded much of your current and future income just for the privilege of living in a home in a high-status neighborhood. So even if you're earning \$100,000 a year, you're not becoming wealthy. What you probably don't know is that your neighbor in the \$300,000 house next to yours bought his house only *after* he became wealthy. You bought yours in *anticipation* of becoming wealthy. That day may never come.

Each year you are forced to maximize realized income just to make ends meet. You can't afford to invest any money. Essentially, you're at a stalemate. Your high domestic overhead requires full commitment of all your income. You will never become financially independent without purchasing investments that appreciate without income realization. So what's it going to be? Will you choose a lifetime of high taxes and high-status living, or will you change your address? Allow us to help you in your decision making. Here is another one of our rules.

If you're not yet wealthy but want to be someday, never purchase a home that requires a mortgage that is more than twice your household's total annual realized income.

Living in less costly areas can enable you to spend less and to invest more of your income. You will pay less for your home and correspondingly less for your property taxes. Your neighbors will be less likely to drive expensive motor vehicles. You will find it easier to keep up, even ahead, of the Joneses and still accumulate wealth.

It's your choice. Perhaps you will make a better one than a young stock broker, Bob, we recently advised. We gave him the same advice about the ideal ratio of home price to income. This thirty-seven-year-old broker had a total realized income of \$84,000. He wanted our advice about buying a \$310,000 home. He planned to make a down payment of